

the probability that Person A (Simon, a shy, introverted man) belongs to Group B (stamp collectors) rather than Group C (BMW drivers)?”

Recalling this example will help you to think through whether you are erroneously assessing a particular situation. It will likely be necessary to go back and do some more research to determine if you have indeed committed an error (i.e., “Are there really more BMW drivers than stamp collectors?”). In the end, however, this process should prove conducive to better investment decisions.

Advice for Sample-Size Neglect

In the earlier example of sample-size neglect (George and Jim), an investor might conclude that a mutual fund manager possesses remarkable skill, based on the fund’s performance over just the past three years. Viewed in the context of the thousands of investment managers, a given manager’s three-year track record is just as likely an indication that the manager has benefited from luck as it is an indication of skill, right? Consider the following studies. The first is a study conducted by Vanguard Investments Australia, later released by Morningstar.³ The five best-performing funds from 1994 to 2003 were analyzed. The results of the study were surprising to say the least:

- Only 16 percent of the top five funds make it to the following year’s list.
- The top five funds average 15 percent lower returns the following year.
- The top five funds barely beat (by 0.3 percent) the market the following year.
- Of the top five funds, 21 percent ceased to exist within the following 10 years.

In the next study, Barras, Scaillet, and Wermers (2010) evaluate the skill of active managers. Their study was intended to make general statements about the mutual fund industry rather than about any single mutual fund. They evaluate performance over the full set of mutual funds and separate them into three categories—skilled (generating positive alpha), unskilled (generating negative alpha), and zero-alpha. They add to previous research by explicitly accounting for skill and luck. Earlier empirical work assumes either no luck or full luck, thus producing biased conclusions about the prevalence of truly skilled and truly unskilled fund managers. Barras et al. concluded that 75.4 percent of the 2,076 funds analyzed were zero-alpha funds over their lifetimes. Of the remainder, only 0.6 percent were skilled and 24.0 percent were unskilled. In sum, Barras et al. concluded that the